

Comprehensive Wealth Plan

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Executive Summary

This plan focuses on three priorities you identified: lowering your tax burden, building cash flow through business and real estate, and creating a path to exit your W-2 job. With \$200K–\$299K W-2 income and a new home organizing LLC forming, you're positioned to implement foundational tax strategies immediately while building toward more advanced real estate plays in Year 2. Your 6–10 hours per week availability and moderate risk tolerance support a phased approach that maximizes ROI without overextending.

Year-one tax strategies deliver \$33,870–\$48,532 in savings plus \$4,000–\$6,500 in improved cash flow from W-4 optimization. Combined with Bitcoin accumulation at your target allocation, projected year-one value ranges from \$44,870 (conservative) to \$79,032 (aggressive). The 30-day launch plan prioritizes LLC formation, W-4 adjustment, and business credit establishment to improve your debt-to-income ratio and position you for rental property financing.

Year-One Projected Value

Conservative Scenario:

\$44,870

Aggressive Scenario:

\$79,032

Current Position Analysis

Income & Employment

Annual Income \$200,000–\$299,000 (W-2 Employee)

Business Forming	Home Organizing LLC (NC)
Location	Raleigh, NC (4.25% state tax)
Combined Marginal Rate	28.25% (24% federal + 4.25% NC)
Financial Position	
Liquid Capital Available	\$50,000+
Net Worth	\$100,000–\$250,000
Home Equity	~\$50,000
Monthly Debt Payments	\$2,517 (\$571 + \$1,545 + \$400)
Credit Score	680–719
Credit Utilization	~50% (target: under 30%)
Crypto Experience	\$5,001–\$10,000 invested
Goals & Constraints	
Primary Goals	Lower taxes, exit 9-5, build rental cash flow
Time Available	6–10 hours/week
Risk Tolerance	Moderate
Implementation Timeline	31–90 days to start

30-Day Launch Checklist

Week 1: Business Foundation

- ☐ File NC LLC Articles of Organization (\$125 filing fee)
- ☐ Apply for EIN at irs.gov (free, immediate)
- ☐ Open business checking (Relay or Mercury recommended)

- ❑ Update W-4 with employer to reduce overwithholding
- ❑ Apply for business credit card (Nav, Brex, or AMEX Business)
- ❑ Register for NC Secretary of State annual report reminders
- ❑ Set up dedicated business email address
- ❑ Create simple business website or landing page

NC LLC Formation: Step-by-Step

Step	Action	Details
1	Choose LLC Name	Must include "LLC" or "Limited Liability Company." Check availability at sosnc.gov
2	File Articles of Organization	Online at sosnc.gov . Cost: \$125. Processing: 2-3 business days
3	Designate Registered Agent	Can be yourself at NC address, or use registered agent service (\$50-150/yr)
4	Create Operating Agreement	Not required by NC but essential for S-Corp election and liability protection
5	Get EIN	irs.gov/businesses/small-businesses-self-employed/apply-for-an-employer-identification-number-ein-online . Free, immediate
6	Open Business Bank Account	Bring: EIN letter, Articles of Organization, Operating Agreement, ID

Business Bank Account Recommendations: Relay (no fees, unlimited sub-accounts for profit allocation), Mercury (tech-forward, good for scaling), Novo (free with integrations). Avoid big banks initially—they often require minimum balances and charge monthly fees.

Week 2: Tax Infrastructure

- ❑ Measure and photograph dedicated home office space
- ❑ Draft Accountable Plan policy document

- ❑ Set up mileage tracking (MileIQ app)
- ❑ Create business expense tracking system
- ❑ Set up accounting software (Wave free, or QuickBooks \$30/mo)
- ❑ Create receipt capture system (Dext, Expensify, or phone folder)
- ❑ Document all startup expenses for deduction
- ❑ Open dedicated business credit card for expense tracking

Home Office Documentation Checklist

Item	What to Document	Why It Matters
Square Footage	Measure dedicated space precisely (length × width)	Determines deduction amount
Total Home Sq Ft	From property records or measure	Calculates business use percentage
Photos	Take dated photos showing exclusive business use	Audit defense documentation
Floor Plan	Simple sketch showing office location	Proves dedicated space
Expenses	Mortgage interest, property tax, utilities, insurance, repairs	Regular method deduction calculation

Your Calculation: If home office is 200 sq ft in 2,000 sq ft home = 10% business use. Annual expenses of \$24,000 × 10% = \$2,400 deduction. At 28.25% rate = \$678 tax savings. Or use simplified method: 200 sq ft × \$5 = \$1,000 deduction = \$283 tax savings.

Week 3: Investment Setup

- ❑ Open River Financial account for Bitcoin DCA
- ❑ Set up automatic \$500–\$1,000/month Bitcoin purchase
- ❑ Research Solo 401(k) providers (Fidelity, Schwab)
- ❑ Review current crypto holdings and consolidate if needed

- ❑ Set up cold storage research (Trezor, Coldcard, or multisig)
- ❑ Create investment tracking spreadsheet
- ❑ Document cost basis for all existing crypto holdings

Bitcoin DCA Implementation

Platform	Fees	Best For
River Financial	1.0-1.2%	Auto-DCA, auto-withdrawal to cold storage, Bitcoin-only
Swan Bitcoin	0.99%	IRAs, larger purchases, advisor network
Strike	~0%	Lowest fees, instant purchases, limited features
Cash App	1.5-2.5%	Convenience, already have account

Recommended Setup: River Financial for primary DCA. Enable auto-withdrawal to your own wallet once balance exceeds \$10,000. This removes counterparty risk while maintaining accumulation convenience.

Week 4: Advanced Planning

- ❑ Document comparable rental rates for Augusta Rule
- ❑ Research DSCR loan requirements for rental properties
- ❑ Schedule Q1 tax planning session with CPA
- ❑ Evaluate Section 179 vehicle options if needed
- ❑ Create 90-day business revenue goals
- ❑ Identify first 3 potential organizing clients
- ❑ Research professional liability insurance for LLC
- ❑ Set up quarterly estimated tax payment calendar

Augusta Rule: Comparable Rate Research

To establish fair market rental rate for your home, document comparable venue rates in Raleigh area:

Venue Type	Typical Daily Rate	Use For Documentation
Hotel meeting room	\$300-\$800/day	Business meetings, planning sessions
Executive conference center	\$500-\$1,500/day	Board meetings, strategy sessions
Airbnb (comparable home)	\$200-\$500/day	Off-site team meetings
Co-working day pass	\$50-\$150/day	Lower bound reference

Your Target Rate: \$350-\$500/day is defensible for a professional home in Raleigh. 14 days × \$400 = \$5,600 annual deduction = \$1,582 tax savings.

Tax Strategy Implementation

Strategies selected from 43+ options based on your profile: \$200K+ income, W-2 + forming LLC, 6–10 hrs/week available, moderate risk tolerance.

1. S-Corporation Election

Q1 2026 **Tax Savings: \$4,520–\$9,040/year**

How it works: Once your LLC generates \$60K+ net profit, elect S-Corp status. Pay yourself reasonable W-2 salary (~40-50% of profit), take remainder as distributions not subject to 15.3% self-employment tax.

Action: File Form 2553 by March 15, 2026 for 2026 tax year. Set up payroll through Gusto (\$40/mo). Requires quarterly payroll tax filings.

Compliance: Salary must be "reasonable" for your role. IRS scrutinizes low salaries relative to distributions.

2. Solo 401(k) Maximization

After S-Corp Election **Tax Savings: \$19,517–\$22,469/year**

How it works: Contribute up to \$69,000/year (\$23,000 employee + up to 25% employer match). At 28.25% rate, max contribution saves \$19,517.

Action: Open Solo 401(k) at Fidelity or Schwab (free). Establish by Dec 31 of year you want to contribute. Employee contributions due by Dec 31; employer contributions due by tax filing deadline.

Compliance: Cannot have full-time W-2 employees (other than spouse). Track contributions against IRS limits.

3. Home Office Deduction

Week 2 **Tax Savings: \$791–\$1,413/year**

How it works: Deduct dedicated workspace expenses. Simplified method: \$5/sq ft up to 300 sq ft = \$1,500 max deduction. Regular method: actual expenses × business use %.

Action: Measure dedicated space, photograph setup, document exclusive business use. Track mortgage interest, utilities, insurance, repairs proportionally.

Compliance: Must be exclusive and regular business use. No dual-purpose spaces.

4. Augusta Rule (Section 280A)

Q2 2026 **Tax Savings: \$1,413–\$2,825/year**

How it works: Rent your home to your business for up to 14 days/year for meetings, planning sessions. Business deducts rent; you receive tax-free income (under 15-day rule).

Action: Research comparable venue rental rates in Raleigh. Create formal rental agreement. Document each business event with agenda, attendees, purpose.

Compliance: Must be fair market rate. Must have legitimate business purpose. Keep detailed records of each rental day.

5. Hiring Your Kids

Q1 2026 **Tax Savings: \$3,391–\$4,239/year** (if children are working age)

How it works: Pay children under 18 up to \$14,600/year (2025 standard deduction) for legitimate work. Business deducts expense; child pays \$0 federal tax. If sole proprietor/LLC,

no FICA on child's wages.

Action: Document job description, hours worked, tasks completed. Pay reasonable rate for work performed. Set up their Roth IRA with their earned income.

Compliance: Work must be real and age-appropriate. Keep time logs. Pay by check/transfer for paper trail.

6. Section 179 Vehicle Deduction

When Needed **Tax Savings: \$4,239–\$8,478/year**

How it works: Vehicles over 6,000 lbs GVWR qualify for up to \$28,900 immediate deduction (2025). With 100% bonus depreciation now permanent under OBBBA, can deduct full cost in year one.

Action: If purchasing business vehicle, choose qualifying SUV/truck (Land Cruiser, Suburban, F-150, etc.). Must use >50% for business. Track mileage religiously.

Compliance: 2025 Section 179 limit: \$1,220,000. Maintain contemporaneous mileage log.

7. Backdoor Roth IRA

Q1 2026 **Value: \$7,000/year (tax-free growth)**

How it works: Your income exceeds Roth IRA limits. Contribute \$7,000 to Traditional IRA (non-deductible), immediately convert to Roth. Future growth and withdrawals are tax-free.

Action: Open Traditional IRA and Roth IRA at same institution. Make non-deductible contribution, convert within days. File Form 8606 with tax return.

Compliance: Avoid pro-rata rule by ensuring no existing Traditional IRA balances. Roll any existing Traditional IRA into 401(k) first if needed.

8. W-4 Optimization

Week 1 **Cash Flow Improvement: \$4,000–\$6,500/year**

How it works: Most W-2 employees overwithhold, giving IRS an interest-free loan. Adjust W-4 to account for your new business deductions, reducing withholding to match actual liability.

Action: Use IRS Tax Withholding Estimator. Update W-4 with employer. Project your business deductions to calculate proper withholding.

Compliance: Avoid underpayment penalty by paying at least 90% of current year tax or 110% of prior year (since AGI >\$150K).

Year-One Tax Strategy Summary

Strategy	Conservative	Aggressive
S-Corporation Election	\$4,520	\$9,040
Solo 401(k)	\$19,517	\$22,469
Home Office	\$791	\$1,413
Augusta Rule	\$1,413	\$2,825
Hiring Kids	\$3,391	\$4,239
Section 179 Vehicle	\$4,239	\$8,478
Backdoor Roth	\$0 (growth)	\$0 (growth)
W-4 Optimization	+\$4,000 cash	+\$6,500 cash
TOTAL	\$33,870 + \$4K cash	\$48,464 + \$6.5K cash

Future Tax Strategies (Years 2-3)

Your 6–10 hours/week availability and rental property goals unlock these powerful strategies once your LLC is profitable and credit is optimized:

Short-Term Rental Loophole

Year 2 **Potential: \$15,000–\$40,000/year**

STRs with average guest stay under 7 days are not considered "rental activity" under IRS rules. If you materially participate (100+ hours, more than anyone else), losses can offset

your W-2 income. Combined with cost segregation, first-year paper losses can be massive. Your 6–10 hrs/week supports material participation requirements.

Cost Segregation Study

When You Purchase Rental **Potential: \$50,000–\$150,000 first year**

Accelerates depreciation by identifying 5, 7, and 15-year property components. With 100% bonus depreciation now permanent (OBBBA), you can deduct these accelerated components immediately. On a \$400K property, typical first-year deduction: \$80K–\$120K.

Real Estate Professional Status + STR Combo

If Spouse Available **Potential: \$40,000–\$100,000+ /year**

If your spouse can dedicate 750+ hours to real estate activities, they can qualify as a Real Estate Professional, allowing unlimited passive losses against your W-2 income. Combined with STR loophole and cost segregation, this is the most powerful tax reduction strategy for high W-2 earners.

Investment Allocation Strategy

Given your debt load (\$2,517/mo) and credit optimization goals, we recommend a conservative initial allocation while building your foundation:

Asset	Allocation	Amount	Purpose
Bitcoin (BTC)	60%	\$30,000	Long-term wealth preservation, DCA approach
STRF/STRC	15%	\$7,500	10-12% yield with Bitcoin exposure
Cash Reserve	25%	\$12,500	Emergency fund + rental down payment seed

Bitcoin Investment Thesis

Bitcoin serves as your primary wealth preservation vehicle. With a fixed supply of 21 million coins and increasing institutional adoption, Bitcoin provides asymmetric upside potential while serving as a hedge against monetary debasement.

Bitcoin Allocation Framework

Time Horizon	Recommended Allocation	Rationale
0-2 years	50-60%	Building foundation, volatility management
2-5 years	60-70%	Compounding DCA, conviction building
5+ years	70-80%	Maximum long-term exposure, reduced volatility concern

Your Starting Point: 60% Bitcoin allocation balances growth potential with your need for liquidity (down payment, credit paydown, emergency fund). As credit improves and rental income starts, increase Bitcoin allocation.

Bitcoin Accumulation Plan

Monthly DCA: \$500–\$1,000 from W-4 cash flow improvement, auto-invested through River Financial.

Lump Sum: After 3-month emergency fund established, deploy remaining liquid capital in tranches.

DCA vs. Lump Sum Decision Matrix

Scenario	Strategy	Rationale
New to Bitcoin	100% DCA over 6-12 months	Reduces timing risk, builds conviction
Experienced, high conviction	50% lump sum + 50% DCA	Captures opportunity while managing risk
Market down 30%+ from highs	Accelerate lump sum deployment	Buying the dip with available capital
Market at all-time highs	Stick to DCA schedule	Avoid FOMO, maintain discipline

Your Plan: Start \$500/mo DCA immediately. After 3 months, evaluate market conditions and deploy additional capital in \$5,000-\$10,000 tranches over 6 months.

STRF/STRC Yield Strategy

Strife Treasury (STRF) and Strife Convertible (STRC) provide Bitcoin-correlated yield through structured products.

Product	Yield	Risk Level	Best For
STRF (Treasury)	10-12% annual	Lower	Stable yield, Bitcoin treasury backing
STRC (Convertible)	8-10% + upside	Medium	Yield plus conversion option

Allocation: \$7,500 in STRF generates ~\$750-\$900 annual yield. Reinvest yield into Bitcoin DCA for compounding effect.

Custody Progression

Timeline	Custody Solution	Threshold
Months 1-3	River Financial	Initial accumulation
Months 3-6	Unchained Multisig	When balance exceeds \$25,000
Month 6+	Scale multisig	As balance grows

Self-Custody Implementation Guide

Balance	Custody Solution	Setup Cost	Security Level
\$0-\$10,000	Exchange (River)	\$0	Basic—counterparty risk
\$10,000-\$25,000	Hardware wallet (Trezor/Coldcard)	\$70-\$150	Good—single point of failure
\$25,000-\$100,000	Multisig 2-of-3 (Unchained)	\$250/year	Better—no single point of failure

\$100,000+

Collaborative custody + geographic distribution

\$500+ /year

Best—institutional grade

Multisig Explained: 2-of-3 multisig requires 2 of 3 keys to move Bitcoin. You hold 2 keys (different locations), Unchained holds 1 (cannot move funds alone). Eliminates single point of failure while maintaining your control.

Tax-Advantaged Bitcoin: Solo 401(k) Option

Once your Solo 401(k) is established, consider allocating a portion to Bitcoin:

Vehicle	Bitcoin Access	Tax Treatment	Considerations
Traditional Solo 401(k)	Unchained IRA, Alto IRA	Tax-deferred growth	RMDs at 73, ordinary income at withdrawal
Roth Solo 401(k)	Same custodians	Tax-free growth	No RMDs, tax-free withdrawal
Checkbook IRA LLC	Direct purchase	Varies	Complex setup, self-directed

Strategy: Max out Roth 401(k) contributions (\$23,000) with Bitcoin allocation for tax-free growth. Use employer contributions (pre-tax) for traditional investments or additional Bitcoin.

Cash Flow & Credit Optimization

Your Situation: 50% credit utilization is hurting your score. Increase application was denied. Business credit is your path forward—it doesn't report to personal credit bureaus.

Monthly Cash Flow Analysis

Current vs. Optimized Cash Flow

Category	Current	After Optimization	Change
W-2 Net Income (est.)	\$12,500/mo	\$12,500/mo	—
Tax Withholding Adjustment	\$0	+\$333-\$542/mo	+\$333-\$542

Debt Payments	-\$2,517/mo	-\$2,517/mo	—
Living Expenses (est.)	-\$6,000/mo	-\$5,500/mo	+\$500
Business Expenses (new)	\$0	-\$500/mo	-\$500
Available for Investment	\$3,983/mo	\$4,316-\$4,525/mo	+\$333-\$542

Key Insight: W-4 optimization alone adds \$4,000-\$6,500/year to your investable cash flow without increasing income. This funds your entire Bitcoin DCA strategy.

Debt Paydown Strategy

Current Debt Analysis

Debt	Payment	Est. Balance	Est. Rate	Priority
Debt #1	\$571/mo	~\$15,000	Varies	Evaluate rate
Debt #2	\$1,545/mo	~\$50,000	Varies	Likely mortgage/auto
Debt #3	\$400/mo	~\$8,000	Varies	Evaluate rate
Total	\$2,517/mo	~\$73,000	—	—

Debt Paydown vs. Investment Decision

Debt Interest Rate	Recommendation	Rationale
Above 8%	Pay down aggressively	Guaranteed return exceeds expected investment return
5-8%	Balance paydown + investment	50/50 split, depends on risk tolerance
Below 5%	Minimum payments, invest excess	Investment returns likely exceed debt cost

0% promotional

Minimum payments only

Free money, invest everything else

Action: List all debts with interest rates. Prioritize paying down anything above 8% before aggressive investing. For lower-rate debt, maintain payments and direct excess to Bitcoin accumulation.

Business Credit Building Strategy

Step	Action	Timeline
1	Establish LLC with EIN	Week 1
2	Open business bank account	Week 1
3	Apply for starter business credit (Nav, Brex)	Week 2
4	Build business credit history (6+ months)	Ongoing
5	Apply for AMEX Business, Chase Ink	Month 6+

Business Credit Card Comparison

Card	Credit Check	Reports to Personal	Starting Limit	Best For
Brex	None	No	Based on cash balance	New businesses with cash
Ramp	None	No	Based on cash balance	Startups, expense management
Nav Business	Soft pull	No (usually)	\$1,000-\$10,000	Building business credit
AMEX Business Gold	Hard pull	No (unless default)	\$10,000+	Established businesses, rewards
Chase Ink Business	Hard pull	No (unless default)	\$5,000-\$20,000	Cash back, travel rewards

Strategy: Start with Brex or Nav (no personal credit impact). After 6 months of business credit history, apply for AMEX Business Gold or Chase Ink for higher limits and rewards.

Personal Credit Improvement

Target: Get utilization under 30% to improve score to 720+ for better rental property financing.

Strategy: Shift expenses to business credit cards. Pay down highest-utilization personal cards first. Request credit limit increases after 6 months of on-time payments.

Credit Score Improvement Action Plan

Action	Impact	Timeline
Pay down to 30% utilization	+20-40 points	30-60 days after payment posts
Pay down to 10% utilization	Additional +10-20 points	30-60 days after payment posts
Become authorized user on old account	+10-30 points	30-60 days
Request credit limit increase (no hard pull)	Reduces utilization %	Immediate
Dispute any errors on credit report	Varies	30-45 days

Quick Win: If you have a card with \$5,000 limit at 90% utilization (\$4,500 balance), paying \$2,000 drops it to 50%—immediate score boost. Prioritize highest-utilization cards first.

Credit Utilization Calculator

Calculate how much to pay down to reach target utilization:

Current Utilization	Target Utilization	If Total Limit = \$20,000	Amount to Pay Down
50%	30%	\$10,000 balance	\$4,000
50%	10%	\$10,000 balance	\$8,000

70%	30%	\$14,000 balance	\$8,000
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Your Situation: At 50% utilization, paying down \$4,000-\$8,000 (depending on total credit limit) should push you into 720+ territory within 60 days.

Rental Property Roadmap

Your goal to build rental cash flow aligns with your time availability. Here's the path:

Phase 1: Foundation (Months 1-6)

Build business credit, improve personal credit to 720+, accumulate down payment in cash reserve, research DSCR loan requirements.

Credit Score Improvement Timeline

Current	Target	Action	Expected Impact
680-719	720+	Reduce utilization to 30%	+20-40 points in 30 days
50% utilization	Under 30%	Pay down \$3,000-\$5,000	+15-30 points
Recent inquiry	Age inquiries	No new personal credit apps for 6 months	+5-10 points

Priority: Focus paydown on cards closest to their limit. A card at 90% utilization hurts more than one at 50%. Target your highest-utilization card first.

Phase 2: First Property (Months 6-12)

Target: Short-term rental property in cash-flowing market.

STR Market Analysis: Southeast Focus

Market	Avg Property Price	Avg Nightly Rate	Occupancy	Annual Gross
Asheville, NC	\$350,000-\$500,000	\$180-\$280	55-65%	\$36,000-\$66,000
Outer Banks, NC	\$400,000-\$700,000	\$250-\$450	45-55%	\$41,000-\$90,000

Gatlinburg, TN	\$300,000-\$500,000	\$200-\$350	50-60%	\$36,500-\$76,650
Myrtle Beach, SC	\$250,000-\$400,000	\$150-\$250	50-60%	\$27,375-\$54,750
Savannah, GA	\$350,000-\$550,000	\$175-\$300	55-65%	\$35,000-\$71,175

DSCR Loan Requirements

Debt Service Coverage Ratio loans qualify based on property income, not your W-2. This is your path to rental financing without debt-to-income issues.

Requirement	Typical Range	Your Situation
Down Payment	20-25%	\$50K liquid covers \$200-250K property
Credit Score	660-700 minimum	680-719 qualifies, 720+ gets better rate
DSCR Ratio	1.0-1.25 minimum	Property income must cover 100-125% of payment
Interest Rates	7.5-9.5% (2025)	Higher than conventional, but no income verification
Reserves	3-6 months PITIA	Need \$5,000-\$15,000 in reserves after down payment

Example: \$350,000 property with 25% down (\$87,500). Loan: \$262,500 at 8% = \$1,926/mo PITIA. Property must generate \$1,926-\$2,408/mo to qualify. At \$250/night and 50% occupancy = \$3,750/mo gross. After expenses (~40%), net \$2,250/mo. DSCR = 1.17. Qualifies.

STR Property Evaluation Checklist

Category	What to Verify	Red Flags
Regulations	City/county STR permit requirements, HOA rules	STR bans, caps, or pending restrictions
Demand	AirDNA data, seasonality patterns, event calendar	Single-season markets, declining bookings

Competition	Number of active listings, average reviews, pricing	Oversaturated markets, price wars
Property	Bedroom count, amenities, unique features	No differentiators, deferred maintenance
Numbers	Conservative revenue estimate, all expenses, cap rate	Seller projections, unrealistic occupancy

Phase 3: Scale & Optimize (Year 2+)

Implement cost segregation study, meet material participation requirements (100+ hours), offset W-2 income with paper losses, acquire additional properties using equity and cash flow.

STR Tax Strategy: Material Participation Requirements

To use STR losses against your W-2 income, you must meet material participation tests:

Test	Requirement	Your Situation
100-Hour Test	Spend 100+ hours on activity	6-10 hrs/week = 312-520 hrs/year ✓
More Than Anyone	Your hours exceed any other person	Self-manage or document manager hours
Average Stay	Under 7 days average guest stay	STR definition requirement ✓

Hours That Count: Guest communication, cleaning coordination, maintenance, bookkeeping, pricing optimization, marketing, property visits, vendor management, research, education. Keep detailed time log with dates, hours, and activities.

Cost Segregation: First-Year Depreciation Example

For a \$400,000 STR property (excluding \$60,000 land value = \$340,000 depreciable basis):

Component	% of Basis	Amount	Life	Year 1 Deduction
Personal Property (5-year)	15%	\$51,000	5 years	\$51,000 (100% bonus)
Land Improvements (15-year)	10%	\$34,000	15 years	\$34,000 (100% bonus)

Building (27.5-year)	75%	\$255,000	27.5 years	\$9,273
Total Year 1	100%	\$340,000	—	\$94,273

Tax Impact: \$94,273 deduction × 28.25% marginal rate = \$26,632 tax savings in year one. If property also has operating losses, total paper loss could exceed \$100,000, fully offsetting W-2 income if you meet material participation.

Recommended Entity Structure

Current Structure: Single-Member LLC

Home Organizing LLC (NC) — Single-member LLC, disregarded entity for tax purposes. Provides liability protection while maintaining tax simplicity.

Why LLC First (Before S-Corp)

Benefit	Explanation
Liability Protection	Personal assets protected from business lawsuits and debts
Tax Simplicity	Single-member LLC reports on Schedule C—no separate business return
Flexibility	Can elect S-Corp status later without forming new entity
Credibility	Business bank accounts, contracts, and credit require legal entity
Low Cost	NC: \$125 formation + \$200 annual report. No ongoing franchise tax

Year 1 Evolution: S-Corporation Election

Once LLC generates \$60K+ net profit, elect S-Corporation status for self-employment tax savings. File Form 2553 by March 15 for same-year election.

S-Corp Election: Decision Framework

Net Profit	S-Corp Savings	Additional Costs	Recommendation
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Under \$40K	\$1,500-\$3,000	\$2,000-\$4,000	Wait—costs exceed savings
\$40K-\$60K	\$3,000-\$5,000	\$2,000-\$4,000	Breakeven zone—evaluate
\$60K-\$100K	\$5,000-\$10,000	\$2,000-\$4,000	Elect S-Corp ✓
\$100K+	\$10,000-\$20,000+	\$2,000-\$4,000	Definitely elect ✓

Additional Costs Include: Payroll service (\$40-\$100/mo), additional tax return (Form 1120-S, \$500-\$1,500 CPA fee), quarterly payroll filings, workers comp (if required by state).

S-Corp: Reasonable Salary Guidelines

IRS requires "reasonable compensation" before taking distributions. Salary that's too low triggers reclassification risk.

Net Profit	Reasonable Salary Range	Distribution	SE Tax Savings
\$60,000	\$35,000-\$40,000	\$20,000-\$25,000	\$3,060-\$3,825
\$80,000	\$45,000-\$55,000	\$25,000-\$35,000	\$3,825-\$5,355
\$100,000	\$55,000-\$65,000	\$35,000-\$45,000	\$5,355-\$6,885
\$150,000	\$70,000-\$90,000	\$60,000-\$80,000	\$9,180-\$12,240

Defensible Salary Factors: Industry comparables (home organizing professionals), geographic location (Raleigh market rates), experience level, time spent in business, company revenue and profitability.

Future Structure: Real Estate Holdings

Each rental property in separate LLC for liability isolation. Consider Wyoming or Delaware LLC holding company structure as portfolio grows.

Multi-Entity Structure (When You Have 2+ Properties)

Entity	Purpose	Tax Treatment

Home Organizing LLC (NC) → S-Corp	Operating business	S-Corp election, salary + distributions
Property 1 LLC (NC or WY)	Hold STR #1	Disregarded entity, Schedule E
Property 2 LLC (NC or WY)	Hold STR #2	Disregarded entity, Schedule E
Holdings LLC (WY)	Parent company for property LLCs	Disregarded, asset protection layer

Why Wyoming: No state income tax, strong asset protection laws, low annual fees (\$60/year), privacy protections. You don't need to live there—just register the LLC there and register as foreign LLC in NC if operating there.

Operating Agreement Essentials

Your LLC operating agreement should include:

Section	What to Include	Why It Matters
Member Information	Your name, ownership %, capital contribution	Establishes ownership
Management Structure	Member-managed (you make decisions)	Required for S-Corp election
Profit/Loss Allocation	100% to single member	Tax reporting clarity
Distribution Policy	When and how profits are distributed	S-Corp compliance
Capital Accounts	Track contributions and distributions	Required for S-Corp
Dissolution Terms	How to wind down if needed	Clean exit strategy

Year-One Value Projection

Conservative Scenario

Tax Strategy Savings	\$33,870
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W-4 Cash Flow Improvement	\$4,000
Bitcoin Growth (20%)	\$7,000
Total Year-One Value	\$44,870

Aggressive Scenario	
Tax Strategy Savings	\$48,464
W-4 Cash Flow Improvement	\$6,500
Bitcoin Growth (30%)	\$10,500
STR Implementation (partial year)	\$13,568
Total Year-One Value	\$79,032

5-Year Wealth Projection

Assuming consistent implementation of strategies and continued Bitcoin accumulation:

Conservative 5-Year Projection				
Year	Tax Savings	Bitcoin Value	Rental Income	Net Worth Added
Year 1	\$33,870	\$42,000	\$0	\$75,870
Year 2	\$40,000	\$70,000	\$12,000	\$122,000
Year 3	\$45,000	\$105,000	\$24,000	\$174,000
Year 4	\$50,000	\$150,000	\$36,000	\$236,000
Year 5	\$55,000	\$210,000	\$48,000	\$313,000
5-Year Total	\$223,870	\$210,000*	\$120,000	\$553,870+

*Bitcoin value assumes 15% CAGR and continued DCA. Actual results will vary based on market conditions.

Aggressive 5-Year Projection

Year	Tax Savings	Bitcoin Value	Rental Income	Net Worth Added
Year 1	\$48,464	\$52,000	\$13,568	\$114,032
Year 2	\$65,000	\$95,000	\$36,000	\$196,000
Year 3	\$80,000	\$160,000	\$60,000	\$300,000
Year 4	\$95,000	\$250,000	\$84,000	\$429,000
Year 5	\$110,000	\$375,000	\$108,000	\$593,000
5-Year Total	\$398,464	\$375,000*	\$301,568	\$1,075,032+

*Bitcoin value assumes 25% CAGR and accelerated DCA. Aggressive scenario includes 2-3 rental properties by Year 3.

Key Milestones to Track

Wealth Building Milestones

Milestone	Target	Significance
First \$100K net worth	Year 1-2	Psychological barrier, momentum builder
First rental property	Month 6-12	Cash flow diversification begins
1 Bitcoin accumulated	Year 1-2	Whole coin holder status
\$10K/month passive income	Year 3-4	W-2 replacement threshold
\$500K net worth	Year 3-4	Financial independence trajectory
3+ rental properties	Year 3-5	Portfolio scale, management systems

W-2 optional	Year 4-5	Business + rentals cover expenses
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Exit Strategy: W-2 Replacement Math

Income Replacement Calculation

To replace your W-2 income (\$200K-\$299K), you need passive income sources covering:

Expense Category	Monthly Need	Annual Need
Living expenses	\$6,000	\$72,000
Debt payments	\$2,517	\$30,204
Health insurance	\$1,500	\$18,000
Taxes (self-employment)	\$2,000	\$24,000
Savings/investment	\$2,000	\$24,000
Total Needed	\$14,017	\$168,204

How to Get There:

Income Source	Target Monthly	How to Achieve
Home organizing business	\$8,000-\$12,000	10-15 clients/month at \$800 avg
STR properties (3)	\$4,000-\$6,000	\$1,500-\$2,000 net per property
Bitcoin yield (STRF)	\$500-\$1,000	\$50K-\$100K in yield products
Total Potential	\$12,500-\$19,000	Achievable in 3-5 years

Implementation Timeline

Timeframe	Milestone	Impact
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Week 1-2	LLC formed, EIN obtained, bank account open	Business foundation established
Week 2-4	W-4 adjusted, home office documented	+\$4K-\$6.5K annual cash flow
Month 2-3	Bitcoin DCA running, business credit applications	Wealth accumulation begins
Q1 2026	S-Corp election filed, payroll established	\$4.5K-\$9K annual savings unlocked
Q1 2026	Solo 401(k) opened, Backdoor Roth executed	\$19.5K-\$22.5K tax savings
Q2 2026	Augusta Rule implemented	\$1.4K-\$2.8K additional savings
H2 2026	Credit optimized, rental property research	Positioned for real estate

Quarterly Action Calendar

Q4 2025 (Now - December)

Week	Priority Actions	Deadline
Nov 25-Dec 1	File NC LLC, apply for EIN, open business bank	Dec 1
Dec 2-8	Update W-4, set up home office documentation	Dec 8
Dec 9-15	Open River Financial, start Bitcoin DCA	Dec 15
Dec 16-22	Apply for business credit cards (Brex, Nav)	Dec 22
Dec 23-31	Year-end tax review, maximize 2025 deductions	Dec 31

Q1 2026 (January - March)

Month	Priority Actions	Key Deadlines
January	Execute Backdoor Roth IRA, review Q4 business income	Jan 15: Q4 estimated tax (if needed)
February	Gather tax documents, evaluate S-Corp election timing	Feb 15: Review business profitability

March	File Form 2553 (S-Corp), establish Solo 401(k)	Mar 15: S-Corp election deadline
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Q2 2026 (April - June)

Month	Priority Actions	Key Deadlines
April	File 2025 taxes, implement Augusta Rule first event	Apr 15: Tax filing deadline
May	Review credit score progress, research rental markets	May 15: NC annual report due
June	Mid-year tax planning, adjust estimated payments	Jun 15: Q2 estimated tax

Q3 2026 (July - September)

Month	Priority Actions	Key Deadlines
July	Begin rental property search, get DSCR pre-approval	—
August	Property analysis, submit offers	—
September	Close on property, begin STR setup	Sep 15: Q3 estimated tax

Q4 2026 (October - December)

Month	Priority Actions	Key Deadlines
October	STR launch, material participation tracking	—
November	Year-end tax planning, cost segregation study	—
December	Max Solo 401(k), year-end deductions, equipment purchases	Dec 31: Employee 401(k) contributions

Annual Tax Planning Calendar

Critical Tax Deadlines

Date	Deadline	Action Required
January 15	Q4 Estimated Tax	Pay quarterly estimate if self-employed income
January 31	W-2s and 1099s	Issue to employees/contractors
March 15	S-Corp Return (1120-S)	File or extend S-Corp tax return
March 15	S-Corp Election	Form 2553 for current year election
April 15	Personal Return (1040)	File or extend personal tax return
April 15	IRA Contributions	Last day for prior year IRA contributions
April 15	Q1 Estimated Tax	Pay quarterly estimate
June 15	Q2 Estimated Tax	Pay quarterly estimate
September 15	Q3 Estimated Tax	Pay quarterly estimate
September 15	Extended S-Corp Return	File extended S-Corp return
October 15	Extended Personal Return	File extended personal return
December 31	401(k) Employee Contributions	Max out employee deferrals
December 31	Business Expenses	Last day for current year deductions

Year-End Tax Planning Checklist

Category	Action	Timing
Income	Defer income to next year if beneficial	November-December
Deductions	Accelerate deductions into current year	November-December
Retirement	Max out 401(k) employee contributions	By December 31
Equipment	Section 179 purchases before year-end	By December 31

Charitable	Bunch donations if itemizing	By December 31
Estimated Taxes	Calculate Q4 payment needed	Early December
Entity Review	Evaluate S-Corp salary vs distribution split	November
Payroll	Process final payroll, bonus if needed	December

Risk Considerations & Compliance

Key Risks to Monitor:

- **S-Corp Reasonable Salary:** IRS can reclassify distributions as wages if salary is too low. Work with CPA to establish defensible salary.
- **Home Office Audit Risk:** Ensure exclusive use. Photograph and document space. Don't claim dual-purpose rooms.
- **Augusta Rule Documentation:** Must have legitimate business purpose. Keep agendas, sign-in sheets, meeting notes.
- **Hiring Kids:** Work must be real and age-appropriate. Keep time logs and pay records.

Risk Mitigation: All recommended strategies are Tier 1-2 (well-established, moderate audit risk). Work with qualified CPA for implementation. Maintain detailed records. No aggressive or high-scrutiny strategies recommended at this stage.

Strategy Risk Assessment

Risk Tier Classification

Strategy	Risk Level	Audit Trigger	Defense Strength
Solo 401(k)	Very Low	Excess contributions	Strong—clear IRS limits
Backdoor Roth	Low	Pro-rata rule violation	Strong—well-established
S-Corp Election	Low-Medium	Low salary relative to distributions	Good—with proper documentation

Home Office	Medium	Exclusive use failure	Good—with photos and records
Augusta Rule	Medium	Fair market rate questions	Good—with comparable research
Hiring Kids	Medium	Work legitimacy questions	Good—with time logs and job descriptions
Section 179 Vehicle	Low-Medium	Business use percentage	Strong—with mileage log

Documentation Requirements by Strategy

S-Corporation: Reasonable Salary Defense

Document	Purpose	When to Create
Industry salary surveys	Establish comparable rates	Before setting salary
Job description	Document responsibilities	At S-Corp election
Time allocation analysis	Show hours worked	Quarterly
Board resolution	Formal salary approval	Annually
Geographic comparables	Raleigh market rates	At S-Corp election

Resources: Bureau of Labor Statistics (bls.gov), Glassdoor, PayScale, Robert Half salary guides. Document professional organizer salaries in Raleigh/NC market.

Home Office: Audit Defense Checklist

Document	Purpose	Storage
Dated photographs	Prove exclusive use	Cloud backup + printed
Floor plan with measurements	Calculate square footage	With tax records
Utility bills	Support expense deduction	7 years

Mortgage statements	Support interest deduction	7 years
Property tax records	Support tax deduction	7 years
Home insurance policy	Support insurance deduction	7 years

Augusta Rule: Required Documentation

Document	What to Include	When to Create
Rental agreement	Dates, rate, terms, signatures	Before each rental
Comparable rate research	3-5 similar venue rates	Annually
Meeting agenda	Business purpose, topics	Each rental day
Attendee list	Names, roles, signatures	Each rental day
Meeting minutes	Decisions made, action items	Each rental day
Photos	Setup, attendees, materials	Each rental day
Payment record	Check or transfer from business	Within 30 days

Hiring Kids: Compliance Requirements

Requirement	Details	Frequency
Written job description	Tasks, responsibilities, skills required	At hiring
Employment agreement	Rate, hours, terms	At hiring
Time log	Date, hours, tasks completed	Each work session
Work product samples	Photos, documents they created	Ongoing
Payment records	Check or transfer (not cash)	Each pay period
W-2 or 1099	Annual tax reporting	January

Age-Appropriate Tasks for Home Organizing Business: Social media posting, photo organization, inventory tracking, supply organization, customer follow-up calls, website updates, scheduling assistance.

Record Retention Schedule

How Long to Keep Documents

Document Type	Retention Period	Rationale
Tax returns	7 years minimum	IRS audit window + buffer
Supporting documents	7 years from filing	Match tax return retention
Business formation docs	Permanent	Needed for entity existence
Real estate records	7 years after sale	Capital gains calculation
Investment cost basis	7 years after sale	Capital gains calculation
Retirement account records	Permanent	Contribution tracking
Employment records	7 years	Payroll tax audit window

When to Involve Professionals

Professional Guidance Recommendations

Situation	Professional	Estimated Cost
S-Corp election and setup	CPA or tax attorney	\$500-\$1,500
Annual S-Corp tax return	CPA	\$800-\$2,000
Real estate purchase structure	Real estate attorney + CPA	\$1,000-\$3,000
Cost segregation study	Cost seg specialist	\$3,000-\$8,000
Estate planning	Estate attorney	\$2,000-\$5,000

IRS audit response

CPA or tax attorney

\$2,000-\$10,000+

ROI Perspective: A \$1,500 CPA fee to properly set up your S-Corp saves you \$4,500-\$9,000+ annually in taxes. Professional guidance pays for itself many times over.

Immediate Next Steps

1. **This Week:** File NC LLC (\$125), apply for EIN (free), open business bank account
2. **Next Week:** Update W-4 with employer, set up home office documentation
3. **Within 30 Days:** Open River Financial, start \$500/mo Bitcoin DCA
4. **Q1 2026:** File S-Corp election (Form 2553), establish Solo 401(k), execute Backdoor Roth
5. **Ongoing:** Build business credit, reduce personal credit utilization, research rental markets

Key Terms Glossary

Tax Terms

Term	Definition
Marginal Tax Rate	The tax rate applied to your last dollar of income. Your 28.25% combined rate means each additional \$1 of income costs \$0.28 in tax.
S-Corporation	A tax election allowing business profits to pass through to your personal return while avoiding self-employment tax on distributions.
Self-Employment Tax	15.3% tax (12.4% Social Security + 2.9% Medicare) on self-employment income. S-Corp election reduces this.
Section 179	IRS provision allowing immediate expensing of business equipment purchases instead of depreciation over time.
Bonus Depreciation	100% first-year depreciation on qualifying property. Made permanent by OBBBA in 2025.
QBI Deduction	Qualified Business Income deduction. Up to 20% deduction on pass-through business income. Made permanent by OBBBA.

Augusta Rule	Section 280A provision allowing tax-free rental of personal residence to own business for up to 14 days annually.
Accountable Plan	IRS-compliant expense reimbursement plan allowing tax-free reimbursements to employees.

Real Estate Terms

Term	Definition
DSCR Loan	Debt Service Coverage Ratio loan. Qualifies based on property income rather than borrower's W-2 income.
Cost Segregation	Engineering study that accelerates depreciation by identifying shorter-life property components.
Material Participation	IRS test requiring 100+ hours of active involvement to treat STR losses as non-passive.
STR Loophole	Short-term rentals (avg stay under 7 days) are not "rental activity" for passive loss rules, allowing losses to offset W-2 income.
REPS	Real Estate Professional Status. IRS designation requiring 750+ hours in real estate, allowing unlimited passive loss deductions.
1031 Exchange	Tax-deferred exchange of investment property. Defer capital gains by reinvesting in like-kind property.
Cap Rate	Capitalization rate. Net operating income divided by property value. Measures investment return.
NOI	Net Operating Income. Gross income minus operating expenses (before debt service).

Investment Terms

Term	Definition
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DCA	Dollar Cost Averaging. Investing fixed amounts at regular intervals regardless of price.
Multisig	Multi-signature wallet requiring multiple keys to authorize transactions. Eliminates single point of failure.
Cold Storage	Offline Bitcoin storage (hardware wallets) not connected to internet. Maximum security.
Backdoor Roth	Strategy to contribute to Roth IRA when income exceeds direct contribution limits. Non-deductible Traditional IRA contribution converted to Roth.
Solo 401(k)	Retirement plan for self-employed with no employees. Higher contribution limits than IRA.
STRF/STRC	Strife Treasury/Convertible. Bitcoin-correlated yield products offering 8-12% returns.

Recommended Resources

Business Formation & Taxes

Resource	Purpose	Link
NC Secretary of State	LLC formation	sosnc.gov
IRS EIN Application	Get employer ID number	irs.gov/ein
IRS Tax Withholding Estimator	W-4 optimization	irs.gov/individuals/tax-withholding-estimator
Form 2553	S-Corp election	irs.gov/forms-pubs/about-form-2553

Banking & Credit

Resource	Purpose	Link
Relay	Business banking (no fees)	relayfi.com
Mercury	Business banking (tech-forward)	mercury.com

Brex	Business credit (no personal guarantee)	brex.com
Nav	Business credit building	nav.com

Bitcoin & Investments

Resource	Purpose	Link
River Financial	Bitcoin DCA, auto-withdrawal	river.com
Unchained	Multisig custody	unchained.com
Fidelity	Solo 401(k), brokerage	fidelity.com
Schwab	Solo 401(k), brokerage	schwab.com

Real Estate

Resource	Purpose	Link
AirDNA	STR market analysis	airdna.co
Mashvisor	Rental property analysis	mashvisor.com
BiggerPockets	Real estate education, forums	biggerpockets.com
DSCR Lender Network	Investment property financing	Various (shop rates)

Tools & Software

Resource	Purpose	Cost
Wave	Free accounting software	Free
QuickBooks Self-Employed	Accounting + mileage	\$15-\$30/mo

MileIQ	Automatic mileage tracking	\$5.99/mo
Gusto	Payroll for S-Corp	\$40+/mo
Dext (Receipt Bank)	Receipt capture	\$20+/mo

This wealth plan is for educational purposes only and does not constitute legal, tax, or investment advice. Consult qualified professionals before implementing any strategies. Tax laws change frequently; verify current limits and requirements with your CPA.